



The Ballot Bullet

Stock market investors needn't panic at the BJP's setback in the Karnataka polls; but they shouldn't be too complacent either and take 2024 as a done deal

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WHILE STOCKS seem to have shrugged off, correctly, the setback for the BJP in the recent Karnataka polls, it brought again to the fore the question of whether elections could still emerge as a potential risk for markets in 2024. This is significant because it is a raft of global factors that top the list of worries for most investors and market participants in India. Rising US interest rates, bank collapses, geopolitics and recession are among other issues that could act as speed breakers to the India growth story. As far as the domestic picture goes, investors seem pretty relaxed—decent growth, recovering capex, stable macro and steady earnings growth with only minor irritants, like El Niño or some slow-down linked to global causes, clouding an otherwise sunny outlook. But what of elections next year? Should one take the outcome for granted or could there be a surprise?

It is no secret that the stock market's preference, by far, is the current government at the centre.

This is hardly a surprise, the stock market being the ultimate capitalist institution, and capitalist institutions worldwide lean rightward. So much so that the mere whiff of Left-leaning economic policies, of which the Congress party and many of its allies are assumed to be proponents, gets market participants all flustered. The fact that a majority of stockbrokers and market intermediaries hail from Gujarat or Rajasthan—traditional Right-wing bastions—may also be a contributing factor. Thus, politically speaking, it has been a comfortable decade for the Indian stock market, the odd policy hiccup such as demonetisation notwithstanding.

While there has been a lot of noise following the Karnataka result, there is yet nothing to suggest that the government at the centre is staring at an upset. It is well established by now that electoral outcomes at the state level don't necessarily reflect public preference for Prime Ministership, and Indian general elections have increasingly become US Presidential-style contests where non-BJP parties have failed to put up a face to

counter Narendra Modi's popularity. That fact remains and one Karnataka verdict does not change that. Having said that, investors would have noted, perhaps with some discomfort, the growing stature of Rahul Gandhi over the last year and the fact that the BJP appears somewhat nervous about the challenge he may pose this time, in his new avatar as a serious, committed politician. The state elections stacked up for the end of the year, in Madhya Pradesh, Rajasthan and Telangana, would throw up a clearer image of how serious this challenge may be.

There are many reasons why this is a significant consideration for stock market investors. First and foremost, is the assumption that majority governments are intrinsically more stable and competent than coalition governments. Investors recognise that the Congress, even if it manages to fashion a remarkable turn in its fortunes, is still very unlikely to get anywhere close to a majority in Parliament. The BJP, given its stranglehold over Uttar Pradesh, is in a much better position to get there, even if its performance

It is debatable whether stoking the animal spirit of optimism in stock buyers should take precedence over dousing the animal spirit of hunger in the poor